

Examples: a. Indiana Harbor Belt Railway General 4s and 4¹/₂s, due 1957. Guaranteed as to principal and interest by New York Central Railroad and an important subsidiary. The Standard Statistics Bond Guide gives as the interest coverage that of the guarantor, the New York Central System. But the showing of the company itself is much better, *e.g.*:

	Charges earned	
	N.Y. Central System	Indiana Harbor Belt
1938	0.59 times	2.98 times
1937	1.12 times	3.81 times

b. This is the typical situation, in which coverage is calculated from a consolidated income account, including operations of both the parent (guarantor) company and its guaranteed subsidiaries.

c. Minneapolis, St. Paul and Sault Sainte Marie 5¹/₂s, due 1978, guaranteed as to interest by Canadian Pacific Railway. The “Soo line” shows earnings of only a small part of total interest charges. Coverage for this issue might best be computed by applying earnings of Canadian Pacific Railway to the total of its own interest charges plus the guaranteed interest on these and other bonds guaranteed by Canadian Pacific Railway.

SUBSIDIARY COMPANY BONDS

The bonds of a subsidiary of a strong company are generally regarded as well protected, on the theory that the parent company will take care of all its constituents' obligations. This viewpoint is encouraged by the common method of setting up consolidated income accounts, under which all the subsidiary bond interest appears as a charge against all the combined earnings, ranking ahead of the parent company's preferred and common stocks. If, however, the parent concern is not contractually responsible for the subsidiary bonds, by guaranty or lease (or direct assumption), this form of statement may prove to be misleading. For if a particular subsidiary proves unprofitable, its bond interest may conceivably not be taken care of by the parent company, which may be willing to lose its investment in this part of its business and turn it over to the subsidiary's bondholders. Such a development is unusual, but the possibility thereof was forcibly demonstrated in 1932–1933 by the history of United Drug Company 5s, due 1953.